

CROSSCURRENT EQUITY PARTNERS

ALON AT CASTLE HILLS

North Central San Antonio, Texas • 306 Units • Built 2000

Private Real Estate Investment Offering

www.alonatcastlehills.com

Confidential — For Accredited Investors Only

Units	Entry / Door	Projected LP IRR	Equity Multiple
306	\$115,000	18.5%	2.08x

Avg. Cash-on-Cash	Hold Period	Exit Cap
10.0%	5 Years	6.50%

Fee-simple, stabilized garden community in a supply-constrained North Central San Antonio infill submarket, anchored by the South Texas Medical Center and USAA. Acquired below replacement cost with an in-place washer/dryer value-add program.

Executive Summary

Alon at Castle Hills is a 306-unit, 2000-vintage garden apartment community on 13.7 acres in North Central San Antonio, one of the most supply-constrained and affluent-adjacent infill pockets in the metro. CrossCurrent Equity Partners is acquiring the fee-simple interest at \$35.19 million (\$115,000 per unit) — a meaningful discount to the ~\$189,000-per-unit replacement cost — and structuring the asset as a fee-simple joint-venture hold with a five-year horizon and a fixed-rate agency-style debt execution.

Investment Thesis — Three Pillars

1	Supply moat in an affluent infill submarket. Zero apartments are under construction within three miles and only one is proposed (250 units). New development is uneconomic at current rents — replacement cost is \$189K/door versus a \$115K/door basis. The surrounding neighborhoods (Shavano Park, Hill Country Village, Elm Creek, Castle Hills) carry \$475K–\$1.7M home values, sustaining a high-barrier-to-ownership renter base.
2	Recession-resistant demand anchors. The South Texas Medical Center (86,000+ jobs, 12 minutes), USAA (19,000 employees, 11 minutes), San Antonio International Airport (10 minutes), and Joint Base San Antonio's BAH-driven military demand floor (189,000 jobs) sit within the property's core commute radius — a durable, diversified employment base.
3	Acquisition basis with embedded value-add. Entry at \$115K/door is below replacement cost and below recent submarket trades. A funded in-unit washer/dryer program (machines today in only 18 of 306 units), smart-home package, and pet-yard build-out provide incremental ancillary income on top of a clean, stabilized operating base.

Key Statistics

Metric	Value	Metric / Value
Units	306	Acquisition: \$35.19M
Year Built	2000	Per unit: \$115,000
Site / Density	13.7 ac / 22 per ac	Total project cost: \$37.4M
Submarket	North Central SA (78213)	Senior debt: \$22.87M (65% LTV)
Occupancy (5/21/26)	93.5%	Debt rate: 5.35% fixed, 48-mo I/O
Avg in-place rent	\$1,193 / mo	Hold: 5 years

Location & Demand



Location relative to San Antonio's core employment and retail anchors. Source: Offering Memorandum.

Alon at Castle Hills sits at the intersection of Hwy 281 and Lockhill Selma Road, with immediate I-10 access — placing residents within a sub-15-minute commute of San Antonio's highest-paying employment corridors. The property draws an affluent, educated renter base: the three-mile median household income is \$67,000 (+10% versus the metro) and 35% hold a bachelor's degree or higher (2.2x the metro).

Demand Drivers & Anchor Employers

Employer / Driver	Drive Time	Profile
South Texas Medical Center	12 min	86,000+ jobs; \$12B revenue; 12 hospitals — very high resilience
USAA Corporate HQ	11 min	19,000 employees; Fortune 500 insurance/finance
San Antonio Int'l Airport	10 min	~100,000 jobs supported
Joint Base San Antonio	~15 min	189,000 military-supported jobs — BAH demand floor
Valero HQ / Downtown CBD	14–17 min	10,000 (Valero) + 75K+ CBD jobs
UTSA	15 min	32,000 students

San Antonio's metro fundamentals reinforce the demand case: +27% population growth since 2010, +9.5% job growth (versus a 6.2% national average), a 1.18-million labor force, and 400+ corporate headquarters. The single-family rent-versus-own gap is wide — a \$475K neighborhood home implies roughly \$3,175/month to own versus ~\$1,183 to rent at Alon, a ~\$1,992 monthly spread that sustains long-duration renter demand.

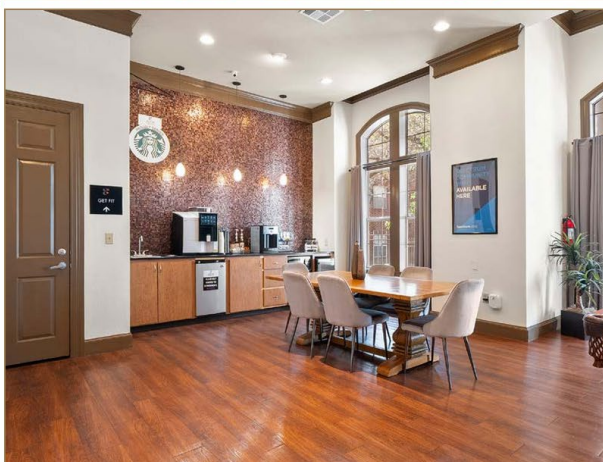
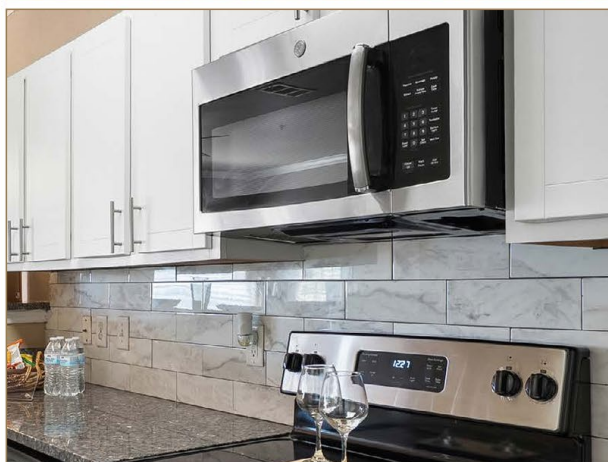
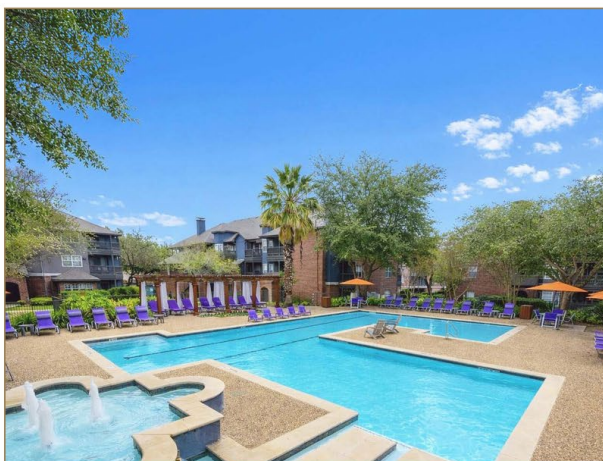
Property Overview

Attribute	Detail
Address	1835 Lockhill Selma Rd, San Antonio, TX 78213 (Bexar County) alonatcastlehills.com
Year Built / Units	2000 • 306 units • 13.7 acres • 22 units/acre
Construction	Brick veneer / fiber-cement / stucco; pitched asphalt-shingle roofs; split-system HVAC; 17 residential buildings
Unit Mix	57% one-bedroom (175 units, 535–756 SF) • 43% two-bedroom (131 units, 887–1,065 SF); avg 772 SF
Ownership	Fee simple — no PFC, ground lease, or AML restrictions
Schools (NEISD)	Castle Hills Elementary (A) • Jackson Middle (B) • Lee HS (B)
Parking	475 spaces (1.55/unit): surface, attached & detached garages, carports

Community & Interior Amenities

Community: resort-style pool, 24-hour fitness center, resident clubhouse with billiards and TV lounge, cyber café, dedicated movie theater, business center, gated access, leash-free dog park, and LUXOR package lockers.

Interior: granite countertops and updated backsplashes (light value-add completed by prior ownership), stainless appliances, hardwood-style flooring, fireplaces and private patios/balconies in select units, and washer/dryer connections in all units.



Property exterior, resort-style pool, updated unit kitchen, and resident amenity space. Source: Offering Memorandum / property marketing materials.

Market & Supply

North Central San Antonio is a mature, land-constrained infill submarket where new development has effectively halted. The property's three-mile radius has zero apartments under construction and only one proposed project (Tacara at Arion Park, 250 units, developer declared bankruptcy). Against a replacement cost of ~\$189,000 per unit, new construction would need rents roughly 38% above Alon's in-place levels to pencil — a durable economic barrier to new supply.

A Supply Correction Working in the Investor's Favor

San Antonio's metro-wide construction pipeline has corrected sharply — starts fell roughly 80% in 2024 and deliveries declined ~26% in 2025, with further declines projected through 2027. As this elevated supply is absorbed, submarkets with no new construction — like Alon's — are positioned to benefit first from the rent normalization expected across 2027–2028.

Alon's infill location, adjacent to \$475K–\$1.7M single-family neighborhoods and anchored by the medical center and USAA, gives it a defensible competitive position: it is the newest asset within a 1.5-mile radius and the rent-per-square-foot leader on its one-bedroom product among its competitive set.

Financial Overview

Trailing Operating Summary (T12 to April 2026)

Line Item	Total	Per Unit
Effective Gross Income	\$4,933,331	\$16,122
Total Operating Expenses	\$2,568,333	\$8,393
Net Operating Income	\$2,364,998	\$7,729
NOI Margin	47.9%	—

The operating base is clean and stabilized: a 47.9% NOI margin, bad debt at 0.6% of potential rent, and concessions at 1.2% — well below metro averages. The broker offering memorandum reconciles to operator actuals within roughly 1% on every material line, an unusually high-quality data package.

Five-Year Pro Forma Projection

(\$)	Year 1	Year 2	Year 3	Year 4	Year 5
NOI	2,691,889	2,730,464	2,846,456	2,985,750	3,101,769
Net Cash Flow	1,468,157	1,505,470	1,621,771	1,761,043	1,470,671
DSCR	1.76x	1.78x	1.86x	1.95x	2.02x

Net operating income grows from \$2.69 million in Year 1 to \$3.10 million by Year 5, driven by modest rent growth, the washer/dryer and ancillary-income initiatives, and normalized operating expenses. Debt-service coverage — shown here on a fully-amortizing basis throughout the hold — is a healthy 1.76x in Year 1 and strengthens to 2.02x by Year 5 as net operating income grows. Projections are estimates and not guarantees of future performance.

Deal Structure & Projected Returns

Sources & Uses

Sources	\$		Per Unit
Senior debt (65% LTV)	\$22,873,500		\$74,750
LP equity	\$13,034,336		\$42,596
GP equity	\$1,448,260		\$4,733
Total Sources	\$37,356,095		\$122,079

Uses	\$		Per Unit
Acquisition price	\$35,190,000		\$115,000
Acquisition fee + closing costs	\$1,225,351		\$4,004
Exterior rehab + W/D program	\$679,750		\$2,221
Escrows & working capital	\$260,994		\$853
Total Uses	\$37,356,095		\$122,079

Debt Terms

Senior loan: \$22,873,500 (65% loan-to-value) at a 5.35% fixed rate, 30-year amortization, 48 months interest-only, 60-month (5-year) term. The interest-only period supports strong early-year cash flow, with fully-amortizing debt-service coverage of 1.76x in Year 1.

Projected Return Summary

Metric	LP	Project
Internal Rate of Return (IRR)	18.5%	20.1%
Equity Multiple	2.08x	2.21x
Average Cash-on-Cash Yield	10.0%	—
Hold Period	5 years	5 years
Exit Cap Rate / Sale Price	6.50%	\$47,621,756
Exit Price per Unit	\$155,627	—

The business plan targets an 18.5% projected LP IRR and a 2.08x equity multiple over a five-year hold, with a 10.0% average cash-on-cash yield. Disposition is underwritten at a 6.50% exit cap on stabilized NOI, implying a \$47.6 million sale (\$155,627 per unit). Return projections are estimates based on assumptions believed reasonable; actual results will vary.

Value Creation Plan

The business plan pairs a clean, stabilized operating base with several discrete, fundable income initiatives — each incremental to the in-place financials rather than assumed within them.

Initiative	Capital	Expected Impact
In-unit washer/dryer program	\$306,000	Machines today in only 18 of 306 units; funded installation enables a ~\$55/unit/month rental premium on connection-ready units
Exterior / common-area rehab	\$373,750	Refreshes curb appeal and amenity areas to defend rents and occupancy against newer competitors
Pet yards	Operational	Premium amenity for ~20 ground-floor units at ~\$100/yard/month
Expense & occupancy normalization	—	Stabilize occupancy and burn off concessions toward submarket norms

Collectively, the offering memorandum identifies roughly \$318,000 per year of incremental ancillary income potential from these initiatives — upside that is layered on top of the in-place operating base, not embedded in the trailing financials.

Key Risks & Mitigants

Risk	Mitigant
San Antonio metro vacancy elevated	The metro construction pipeline has corrected ~80% from its peak; the property's three-mile radius has zero units under construction, insulating it from new-supply pressure as the metro normalizes.
Near-term rent softening	Underwriting holds occupancy flat at the current 93.5% and assumes only modest effective-rent growth — it does not rely on an aggressive rent ramp. The affluent, employment-anchored renter base supports durable demand.
Lease-roll concentration (summer)	A peak-season expiration concentration aligns renewals with the seasonally strongest leasing window for a Texas garden asset, and the operator is an institutional national manager experienced in high-volume turn execution.
Property-tax reassessment on sale	Underwriting incorporates a market-standard reassessment assumption; tax exposure is monitored through the Bexar County appraisal process, and fully-amortizing debt-service coverage (1.76x Year 1) provides cushion.
Insurance cost normalization	Pro forma budgets insurance at the \$500–600/unit market standard rather than the lower trailing figure, removing under-budgeting risk.
Asset age (2000 vintage)	A property condition assessment is completed in diligence; exterior and common-area capital is funded at close (\$373,750), and major systems are budgeted through reserves.
Interest-rate / financing	Debt is fixed at 5.35% for the hold with a 48-month interest-only period; there is no floating-rate exposure over the projection window.

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